

Chapter 1: Employee Attrition and Strategic HRM Challenges at AutoMan Works: A Case Study Approach

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Abstract: This chapter focusses on the HRM problems associated with AutoMan Works Pvt. Ltd. that occurred during the process of organizational growth and establishing Unit 2. Issues identified in the study include employee turnover, poor communication, no communication to assist with travelling to work and to school, lack of work-based training opportunities and poor compensation systems. The chapter examines the disconnect between growth and HR practices using several models espoused by the SHRM such as the Harvard Model, Best-Fit Approach, AMO model, and Resource-Based View. It also offers strategic insights to help enhance long-term business sustainability, employee retention, workforce stability, and communication within the organization.

Keywords: Strategic Human Resource Management, Employee Attrition, Workforce Retention, Organizational Growth, Workforce Stability, Employee Engagement, Industrial Relations, Compensation Management, Training & Development, Performance Management, HR Strategy, Organizational Communication.

1. Introduction

Vikram Arora, Founder cum Managing Director, AutoMan Works Pvt. Ltd. (AutoMan), ended up being stuck on the road to a pile of separation letters pending on his desk for nearly a quarter now. Automan, a mid-sized auto parts manufacturer located in Punjab, India recently constructed its second plant roughly 15 kilometers from the first. By the time Unit 2 opened, a spike in defections and broken customer pledges had turned recruitment into around-the-clock heartburn. Arora looked around the plant to see about making room; what it would take to restore workforce stability before ham-handed attempts at expansion chipped away his margins.

HR practices are not much different since the business was started although it was being run as AutoMan. Recruitment was informal, remuneration fixed, training sparse and communication was almost one-way. These arrangements were sufficient when the activities of the company were restricted to a single area. But the geography and nature of operating unit 2 had exposed significant deficiencies in unit people management. The conditions laborers were being compelled to labor inside unit 2 became coupled with better travelling prices, long journeys, each physically and mentally, and a sense that their multiplied workload cut out in line with absolutely not noted via way of means of management.

Arora had two problems. On one hand, he had to break the attrition run at the Unit 2 and restore continuity in production. He did not seem to believe AutoMan could achieve its long-term goals of a third manufacturing plant and possibly export markets in three years without replacing the moth-bald HR systems, however. The current case discusses the strategic HR challenges before AutoMan Works and a possible integrated framework for managing the workforce sustainably.

2. Company Profile

AutoMan Works Pvt. Ltd. is a medium size automobile component manufacturing company in Punjab, India. Vikram Arora, with an initial investment of INR 50,000 and with eight employees, started his venture in 1998 which he built up slowly and steadily by reinvesting in technology, machinery, and in building the workforce.

The company is engaged in the production of automobile component and sub-assemblies to the Commercial vehicle makers in North India. AutoMan Works had built up a reputation over the years for high quality production, reliability and long-term customer relationships. As of 2023, it generates an annual income of around INR 158 million and has also brought considerable employment opportunities.

As a response to the rising market demand and customer orders, the company set up a second manufacturing Unit; Unit 2, with a view to gradually scale up its capacity, facilitate its future expansion and strengthen its operational capability. But the quick growth created some human resource and operational issues, such as employees not staying with the company, communication problems, transport, and employee management.

AutoMan Works is a family business and all-important organization decisions are taken in the management of the founder – managing director. Despite the fact that the organization was in a great position of having close ties with employees, the lack of formal HR systems posed problems in handling stability of the workforce especially during organizational growth.

3. Managerial Style

AutoMan Works was a close-knit family affair. Arora was the managing director; and Sunita, his wife, was in charge of administration, while their son, Karan, was recently placed in sales and customer relations. Arora was a majority owner, and while he was very kind to his workers, he never considered himself to be a man for whom slackness, disorder or lack of control over important decisions were acceptable. His approach as boss was often paternalistic – generous as long as his leadership was not questioned, yet a step Father Knows Best was kept firmly in mind. In favor of the owner's personal care of the welfare of the workmen, a senior technician Ramesh recalled: The next morning, Arora-sir himself would enquire about the state of affairs of a worker's family, should any medical emergency arise. He would ask you if everything was all right with the hospital charges, and if you replied, "I'm hard up for money," he would call the accounts office and make inquiry and the money would be advanced to you the same day. But what made Arora a good man in one-on-one relationships was a crippling impediment in organizational management. In his office, all personnel decisions such as hires, transfers, increments, disciplining, were made. There was no formal process for workers to appeal or to help make decisions that would impact them. This relationship of personal largesse and institutional rigidity would be particularly important given the stresses of the approaching Unit 2.

UNIT 2 AND THE EMERGING CRISIS

In the second quarter of 2022, unit 2 began work. Thirty-one workers were brought in from the main facility and another 32 were locally recruited. Sources of the sample unit used a combination of craftsmen, quality-control persons, and factory workers. The plant did have difficulties which the expansion planning process had overlooked, from its first weeks of operation. The greatest challenge at the outset, even, was transport. Those who were moved from Unit 1 had to walk 15 kilometers to get here and back home – without public transport. The majority of the respondents reported spending from 15 to 20 per cent of their monthly income on transportation alone. No compensation for this burden was made possible from outside of the country through a travel allowance. Locally recruited workers frequently had never worked in a factory before and there was a high turnover rate among these new employees within the first 90 days of employment.

The second issue was the communication. During unit 2 operation, there was little connection to the main facility. Production targets were transmitted over the phone, and supervisors had no formal systems for raising concerns or reporting shortage of resources or for the handover of shifts. Employees reported feeling as if they were not just a geographic distance, but as if they were an organizational distance from each other, a lesser company because of their lack of pride and confidence in their organization.

In 2022 Q3, unit 2 was seeing 18 per cent per month attrition while unit 1 had not seen any growth in its attrition rate at 3 per cent. In response, Arora stepped up recruiting to replace lost officials, but did not work to resolve the root causes. This quickly became unsustainable, because new workers were costly and training them was time consuming, and the turn and turn of

production was starting to impact on quality, and delivery of goods to the customer.

4. Existing Human Resource Practices at AutoMan Works

4.1 Recruitment and Selection

The recruitment process at AutoMan Works was largely informal and operationally based. Employee recommendations and local paper ads and walk-ins by the plant head were used to fill vacancies. Structured competency assessments, behavioral interviews, realistic job preview were not used. When candidates come into Unit 2, there were often misunderstandings about the hours they would work, shift allowances, workplace conditions, etc., which resulted in a high turnover in the first six months.

4.2 Compensation and Benefits

The scheme of compensation was determined and based on tenure. All workers at Unit 2 were paid the same amount as those at Unit 1, even though the commuting costs were significantly higher. There were no locality allowances, transport expenses or incentives based upon performance. Overall, AutoMan's pay rates for transferred employees aligned well with the Pakistan government minimum pay rate for the same period; however, no allowances were provided for the extra costs incurred by the workers in Unit 2.

4.3 Training and Development

There was only induction training that included safety procedure and basic operating of the machines. There were no programs of technical skill improvement, leadership development pipelines, mentorship programs or career pathways. Opportunities to improve and promotion were reported as being completely unclear and skill development was said to be mostly self-led.

4.4 Employee Relations and Communication.

Communication within AutoMan Works was one-way and of a hierarchical nature. The data on target production, change of policy and organizational development was handed down from supervisors. There was no existing, formalized means for input or grievances, or involvement in decisions made that impact workers. Supervisors were transactional: there was no effort to invest in building relations of trust or in facilitating a dialogue from the top to the bottom and back.

4.5 Performance Management

It had an annual appraisal procedure, which was based more on attendance records and achievement in terms of quantity in relation to targets. There was no feedback, development-oriented coaching, recognition of contributions or performance related remuneration mechanisms in place. Occasionally, Unit 2 workers felt invisible — that their work was done, but not necessarily noticed.

5. Strategic HRM Analysis of AutoMan Works

5.1 HRM Models – Harvard Model of HRM

Beer et al. (1984) propose the Harvard Model, which views HR policy as determined by multiple factors: organizational context, and stakeholder interests. Applied to AutoMan Works, the framework demonstrates a mismatch: the HR policies were developed for a life of one site with a steady workforce and failed to be reworked when considering the entirely different situation of Unit 2. The altered situational factors (such as the size of their workforce, the way workers commute, operational complexity) required the worker to make changes in HR policy decisions. Predictably, their removal saw a decline in employee commitment and satisfaction.

5.2 The Best-Fit Approach

Best Fit Approach holds that HR practices, in order to be effective, should be adapted to the particular context and environment in which they are implemented (Schuler and Jackson, 1987). Despite the fact that there were significant differences in the contexts of the two units, AutoMan Works used the same package of HR practices throughout. The result was a system that did decently for part of the system (Unit 1), but was not well suited for the other part (Unit 2) and brought about dissatisfaction and an increased number of dropouts in this unit.

5.3 Ability – Motivation – Opportunity (AMO) Model

This AMO Model, as proposed by Appelbaum et al. (2000), implies that employees' performance and retention depend on three

interrelated dimensions that complement each other: ability to perform, motivation to perform and opportunity to contribute. Each dimension is a hindrance to each other: No one is able to be weak in one and strong in the other.

5.4 AutoMan Works suffered in all three dimensions:

Lack of training and development of any value led to a stagnation of ability, a lack of organizational loyalty, and an interest in outlooks for growth outside the organization. Distrust in the equal pay system, which placed more strain on Unit 2 workers than recognition/rewards, resulted in a decline in motivation. Opportunity was virtually impossible; workers did not have a formal input in decision-making, there was no grievance procedure, and they did not have a way of getting involved in the life of their organization other than through the job. High attrition and disengagement occur from the cumulation of all failure across all three AMO dimensions, as happened in the first few months of operation of Unit 2.

5.5 The Resource Based View (RBV)

Resource-Based View (Barney, 1991) suggests that a firm has a sustained competitive advantage if its organizational resources are valuable, rare, imperfectly imitable and no substitutive resource exists. The RBV, as it applies to the HR field, suggests that AutoMan's skilled and experienced employees, who held tacit knowledge about the way operations are done, their familiarity with customer specific processes, and embedded teamwork, were strategic assets of this kind. Unit 2 had a high turnover rate and this asset was systematically destroyed by departures of individuals followed by replacement and retraining expenses and a decrease in production quality with impact on customers.

6. Strategic Recommendations

6.1 Transportation Support System

The option of a company-shuttled service or formalized travel reimbursement to the Unit 2 generated the most immediate action. Reduced commuting would provide a concrete and visible indication that the organization cares and would decrease the number of employees leaving every month by several percentage points in the first quarter following implementation.

6.2 Offering Strategic Recruitment and Structured Onboarding.

Incorporating long-term workforce stability into recruitment systems was a necessary fix, and HR leaders must determine how to effectively implement this change. Properly described Unit 2 working conditions and commuting requirements in a realistic preview, competency-based selection interviews, and formalized onboarding programs that are carried out through the first 90 days of employment were all recommended changes. These changes in policies would help lower the number of mismatches and preemptive quitters.

6.3 Persistent Learning and Development Architecture (PLDA):

AutoMan Works required a formal learning environment to include technical training programs, cross functional exposure and mentoring relationship, and readily seen career paths. Reinvested in employee development to improve commitment and minimize employee turnover based on transferable growth opportunities which was not being offered at the company.

6.4 Compensation Reform

A new concept needed to be established in the compensation system to reflect contribution to performance and context of location. In particular, implementing performance-based incentives, allowances for the location of Unit 2 and transportation benefits were recommended. Benchmarking was recommended with industry to warrant a competitive total rewards package with similar manufacturers across the region.

6.5 The participation of employees and feedback processes

AutoMan Works had to establish lines of communication to allow workers to make their concerns known. Recommended

modes of action encompass a monthly team review meeting, an anonymous on-line grievance reporting system, an employee suggestion scheme as well as a structured employee recognition program for individual and team work. These measures would increase organizational trust, commitment and help management to have first-hand knowledge of potential concerns early in the process before escalating into retention problems.

6.6 Communication and co-ordination protocols should be established.

There needed to be a communication infrastructure intervention to deal with the operation isolation of Unit 2. Recommendations included placing a mechanism for digital shift-handover, regular coordination meetings between different units, and improved communication between supervisors and employees. Such changes would eliminate some of the inefficiencies in the process and repair the feeling of isolation reported by Unit 2 employees and restore cohesion to the organization, which had been lost in the speed of the expansion.

7. Conclusion

The employee turnover problem at AutoMan Works provided a good example of the strategic implications of out-growing the HR systems with which to sustain the growth. AutoMan kept growing and growing geographically, but the individual’s management practices that described the new site were not changed, forming a picture where discontent, disengagement and attrition were almost inevitable.

Together the SHRM models explored in this analysis — the Harvard Model, the Best-Fit Approach, the AMO Model, and the Resource-Based View — reveal a trend of broad but systematic misalignment of HR, which suggests that they are not simply human resource mistakes by managers. To turn this pattern around will take more than plans on the part of the HR team to ‘sort it out’.

The recommended changes offer a structure by which to restore workforce stability and facilitate the longer-term goals of AutoMan via its building organizational foundations. Those that approach people management as a strategic core investment, investing in employee wellbeing, fairness, development and voice, are much better equipped to keep people productive and loyal through inevitable growth disruptions.

EXHIBIT 1: AUTOMAN WORKS PVT. LTD. — LAST FIVE YEARS' FINANCIAL PERFORMANCE

Year	Revenue (INR Millions)	Net Profit (INR Millions)	Workforce (Approx.)
2018–2019	82.4	3.1	95
2019–2020	104.6	5.4	112
2020–2021	89.2	2.8	108
2021–2022	131.5	8.9	148
2022–2023	158.3	11.2	170

EXHIBIT 2: SUMMARY OF HR GAPS AND STRATEGIC RECOMMENDATIONS AUTOMAN WORKS PVT. LTD.

HR Area	Identified Gap	Strategic Recommendation
Recruitment & Selection	Informal, referral-based; no competency assessment or realistic job previews	Competency-based interviews, structured selection, formal onboarding programs
Compensation & Benefits	Fixed, tenure-based; no location allowances or performance incentives for Unit 2	Performance-linked pay, location-based allowances, industry benchmarking
Training & Development	Limited to induction and safety; no career or leadership development pathways	Structured training architecture, mentorship schemes, cross-functional learning
Employee Relations	Hierarchical, one-way communication; no grievance mechanisms	Monthly review meetings, anonymous grievance channels, participative systems
Performance Management	Annual appraisal focused on attendance; no recognition or coaching	Continuous feedback, recognition programs, performance-linked rewards
Transportation & Welfare	No support for Unit 2 employees despite 15 km commute	Company transport or travel reimbursement for Unit 2 staff